

Olevel economics

Market failure



By:-

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Market failure:- It occurs when freely functioning markets fails to allocate resources from society's point of view!

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Externalities to be taken into consideration

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Demand and Supply
DT D↓ ST S↓
I ME MYSELF

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Underallocation and Overallocation

Private cost

- Consumers :- price of a good
- producers :- cost of production

Private benefit

- Consumers :- satisfaction
- producers :- Revenue

Externalities

- External cost :- Pollution
- External Benefit :- Employment

+ve -ve

Social cost is the total cost to the society which comprises of private cost (cost which is borne by consumers and producers when they consume and produce goods and services e.g. price of a good for consumers and e.g. cost of production for producers) and external cost (cost to the third party for which no appropriate compensation is to be made e.g. pollution).

$$SC = PC + EC$$

$$\text{Social cost} = \text{Private cost} + \text{External cost}$$

$$\text{Social Benefit} = \text{Private benefit} + \text{External benefit}$$

Types of goods

Private goods

- ✱ Private sector
- ✱ Private cost
- ✱ Private benefit
- ✱ Price
- ✱ Profit
- ✱ Price mechanism
- ✱ Overallocation
- ✱ Underallocation
- ✱ Rival
- ✱ Excludable
- ✱ Rejeetable

Public goods

- ✱ Public sector
- ✱ Government intervention
- ✱ e.g. Street lights
- ✱ e.g. Light house
- ✱ e.g. defence
- ✱ Free rider problem
- ✱ Private sector will never provide
- ✱ No mechanism to charge price
- ✱ No profit for private sector
- ✱ Non-Rival
- ✱ Non-Excludable
- ✱ Non-Rejeetable

Note :- A good is an economic good, if it is useful to people but scarce in relation to its demand so that human effort is required to obtain it. In contrast, free goods, such as air, are naturally in abundant supply and need no conscious effort to obtain them.

Rival:- Consumption by one individual, reduces the consumption for other. e.g. piece of cake.

Excludable:- Payment by one individual restrict the other individual from enjoying the benefit of that particular good

Rejectable:- Every private good has a price attached to it, thus it can be rejected at any given point of time, by simply not paying for it.

Non-Rival:- Consumption by one individual doesn't reduce the consumption for other individual e.g. streetlights

Non-Excludable:- Payment by one individual can't restrict other individual to enjoy benefits of that good, e.g. streetlights, even the non-tax payers get to consume it.

Non-Rejectable:- You simply can't reject a public good, one way or the other, you will contribute to the funds which helps government to provide public goods.

Free rider problem:- A private sector firm will never get themselves involved in provision of public goods.

Consumers are aware that even without paying for these goods they can enjoy the equal benefits comparing from the one who pays for it. So it's difficult for private sector to set a price for it, in other words there is no mechanism to charge the price for public goods.

Determining the supply of public goods is another issue as it can't be restricted. Thus complete responsibility is under government which raises funds through taxes!

Private goods

Private good, a product or service produced by a privately owned business and purchased to increase the utility, or satisfaction, of the buyer.

The majority of the goods and services consumed in a market economy are private goods, and their prices are determined to some degree by the market forces of supply and demand.

Pure private goods are both excludable and rivalrous, where excludability means that producers can prevent some people from consuming the good or service based on their ability or willingness to pay and rivalrous indicates that one person's consumption of a product reduces the amount available for consumption by another. In practice, private goods exist along a continuum of excludability and rivalry and can even exhibit only one of these characteristics.

The absence of excludability and rivalry introduces market failures that ensure that some goods and services cannot be efficiently provided by markets. Public goods, such as streetlights or national defense, exhibit nonexcludable and nonrivalrous characteristics.

In a private market economy, such goods lead to a free-rider problem, in which consumers enjoy the benefits of the good or service without paying for it. These goods are thus unprofitable and inefficient to produce in a private market and must be provided by the government.

Inefficiency in the production and consumption of private goods can also arise when there are spillover effects, or externalities.

A positive externality exists if the production and consumption of a good or service benefits a third party not directly involved in the market transaction. For example, education directly benefits the individual and also provides benefits to society as a whole through the provision of more informed and productive citizens.

Private markets will underproduce in the presence of such positive externalities because the costs of production for the firm are overstated and the profits are understated.

A negative externality exists when the production or consumption of a product results in a cost to a third party. Air and noise pollution are commonly cited examples of negative externalities. When negative externalities are present, private markets will overproduce because the costs of production for the firm are understated and profits are overstated.

Questions

Marks :- 36

- Q1 Define market failure? 2
- Q2 Define social cost? 6
- Q3 Define social benefit? 6
- Q4 Define private goods and explain its features? 8
- Q5 Define public goods and explain its features? 8
- Q6 Write a note on free rider problem? 6